

Senior issue	Market price of common	Conversion or subscription price of common	Price of senior issue	Realizable value of senior issue based on privilege (conversion or subscription parity)	Amount by which senior issue sold above parity, ("premium"), points
Mohawk Hudson 2d Pfd	52 ¹ / ₂	50	163*	105	58
White Sewing Machine 6s	39	40	123 ¹ / ₂ †	97 ¹ / ₂	26
Central States Electric Pfd	116	118	97	98	—1
Independent Oil & Gas 6s	31	32	105	97	8

* Consisting of 107 for the preferred stock, ex-warrants, plus 56 for the warrants.

† Consisting of 98¹/₂ for the bonds, ex-warrants, plus 25 for the warrants.

Advantage of Separability of Speculative Component. This advantage of subscription-warrant issues is due largely to the fact that their speculative component (*i.e.*, the subscription warrant itself) can be entirely separated from their investment component (*i.e.*, the bond or preferred stock ex-warrants). Speculators are always looking for a chance to make large profits on a small cash commitment. This is a distinguishing characteristic of stock option warrants, as will be shown in detail in our later discussion of these instruments. In an advancing market, therefore, speculators bid for the warrants attached to these privileged issues, and hence they sell separately at a substantial price even though they may have no immediate exercisable value. These speculators greatly prefer buying the option warrants to buying a corresponding *convertible bond*, because the latter requires a much larger cash investment per share of common stock involved.⁴ It follows, therefore, that the separate market values of the

⁴ Note that the Independent Oil and Gas bonds represented a commitment of \$33.60 per share of common, whereas the White Sewing Machine warrants involved a commitment of only \$10 per share of common. But the former meant *ownership* of either a fixed claim or a share of stock, whereas the latter meant only the *right to buy* a share of stock at a price above the market.